



**Bureau of Experts at the Council of Ministers
Official Translation Department**

**Law of the Saudi Credit and Savings Bank
(Social Development Bank)**

Royal Decree No. M/34
June 22, 2006

Translation of Saudi Laws

NOTES:

1. This translation is provided for guidance. The governing text is the Arabic text.
2. The translation of Saudi laws takes the following into consideration:
 - Words used in the singular form include the plural and vice versa.
 - Words used in the masculine form include the feminine.
 - Words used in the present tense include the present as well as the future.
 - The word “person” or “persons” and their related pronouns (he, his, him, they, their, them, and who) refer to a natural and legal person.
3. Amendments to this Law are provided in the Appendix.

For any comments or inquiries, please contact the Official Translation Department at:

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Royal Decree No.: M/34

Date: 1/6/1427H

With the help of Allah the Almighty

We, Abdullah bin Abdulaziz Al Saud,

King of the Kingdom of Saudi Arabia

Based on Article 70 of the Basic Law of Governance issued by Royal Order No. A/90, dated 27/8/1412H;

Based on Article 20 of the Law of the Council of Ministers issued by Royal Order No. A/13, dated 3/3/1414H;

Based on Article 18 of the Shura Council Law issued by Royal Order No. A/91, dated 27/8/1412H;

Upon perusal of Shura Council Resolutions No. 105/73, dated 24/1/1425H, and No. 78/58, dated 22/12/1426H; and

Upon perusal of Council of Ministers Resolution No. 131, dated 30/5/1427H;

Have decreed the following:

First:

The Law of the Saudi Credit and Savings Bank, attached herewith, shall be approved.

Second:

His Highness the Deputy Prime Minister and the ministers shall, each within their jurisdiction, implement this Decree.

Signed

Abdullah bin Abdulaziz



Resolution No.: 131

Date: 30/5/1427H

The Council of Ministers,

Upon perusal of Casefile No. 2509/B, dated 17/1/1427H, received from the Office of the Presidency of the Council of Ministers which includes Letter No. 1/3874, dated 24/3/1421H, of His Excellency the Minister of Finance regarding the draft Law of the Saudi Credit and Savings Bank;

Upon perusal of Minutes No. 315, dated 29/8/1425H, No. 15, dated 19/1/1426H, No. 58, dated 22/2/1427H, and No. 152, dated 12/4/1427H, prepared by the Bureau of Experts;

Upon perusal of High Order No. 5464/MB, dated 20/4/1426H;

Upon review of Shura Council Resolutions No. 105/73, dated 24/1/1425H, and No. 78/58, dated 22/12/1426H; and

Upon perusal of Recommendation No. 249, dated 24/4/1427H, of the General Committee of the Council of Ministers;

Resolves the following:

1. The Law of the Saudi Credit and Savings Bank, attached herewith, shall be approved. A royal decree has been drafted to this effect; a copy of which is attached herewith.
2. The Bank's employees shall be subject to the provisions approved by High Order No. 5464/MB, dated 20/4/1426H.

Signed
Prime Minister



Law of the Saudi Credit and Savings Bank (Social Development Bank)

Article 1

In this Law, the following words and phrases shall have the meanings assigned thereto, unless the context requires otherwise:

1. **Bank:** Saudi Credit and Savings Bank.
2. **Minister:** Minister of Finance
3. **Board:** Board of Directors of the Bank.

Article 2

The Bank shall have a legal personality and financial independence; it shall have the right to ownership, disposition, and litigation in accordance with the provisions of this Law.

Article 3

The Bank shall be headquartered in the city of Riyadh, and it may establish branches in the Kingdom's provinces or appoint agents or representatives in such provinces.

Article 4

The Bank aims to achieve the following objectives:

- a) Offering interest-free loans to small enterprises and startups as well as Saudi craftsmen and tradesmen to encourage them to engage in businesses and professions for their own account.
- b) Offering interest-free social loans to low-income citizens to assist them in overcoming financial hardship.
- c) Assuming a coordinating and complementary role in supporting small enterprises and startups.
- d) Promoting saving and thrift among individuals and institutions in the Kingdom, and developing tools to achieve this objective.

Article 5

Without prejudice to this Law and the provisions of Sharia, the Bank shall be subject to the oversight of the Saudi Arabian Monetary Authority and to banking laws.

Article 6

The authorized capital of the Bank shall be six billion riyals to be paid by the Ministry of Finance. Such capital may be increased pursuant to a resolution by the Council of Ministers upon a recommendation by the Minister.



Article 7

The Bank's funds and financing resources shall consist of the following:

- a) The Bank's capital.
- b) Government deposits.
- c) Fees collected for expenses incurred by the Bank in performing its functions as determined by the Board. Social loans granted to low-income individuals shall be exempt from such fees.
- d) Income generated from investing the Bank's funds and assets.
- e) Allocations and funds granted or loaned to the Bank by the government.
- f) Loans and deposits provided by the Saudi Arabian Monetary Authority and other public and private institutions and charitable organizations.
- g) Deposits made by the public and guaranteed by the government.
- h) Savings bonds.
- i) Securities and collaterals of various types.
- j) Funds or allocations offered by others as gifts or endowments.

Article 8

A. The Bank shall have a board of directors comprising 10 members including the chairman, as follows:

- Chairman of the Board, to be nominated by the Minister, Chairman.
- General Director of the Bank, member.
- A representative of the Ministry of Finance, member.
- A representative of the Ministry of Labor, member.
- A representative of the Ministry of Commerce and Industry, member.
- A representative of the Ministry of Social Affairs, member.
- A representative of the General Organization for Technical Education and Vocational Training, member.
- A representative of the Saudi Arabian Monetary Authority, member.
- Two members with relevant expertise from the private sector to be nominated by the Minister.

The representatives of government agencies shall be of a rank not lower than grade Twelve.

- B. The Board shall be formed pursuant to a resolution by the Council of Ministers for a term of three years, renewable once. The General Director of the Bank shall be exempt from the term limit.
- C. The Board shall, at the beginning of each term, elect from among its members a vice-chairman to serve as acting chairman in the absence of the Chairman.
- D. Remuneration of the Chairman and members of the Board shall be determined pursuant to a resolution by the Council of Ministers upon a recommendation by the Minister.



Article 9

The Board shall be the Bank's highest authority and shall oversee its operations and the achievement of its objectives; it shall in particular:

- a) approve the Bank's organizational structure and its financial and administrative regulations;
- b) form the executive committees necessary for the Bank's operation and determine their powers;
- c) approve the Bank's draft annual budget for its operations and administrative expenditures;
- d) set the maximum limits for the loans extended by the Bank as well as the collaterals therefor;
- e) accept deposits guaranteed by the government;
- f) open deposit and current accounts with banks in the Kingdom;
- g) set rules for issuing savings bonds and checks;
- h) set rules for acquiring, selling, trading, dealing with, pledging, and disposing of real estate as well as movables, shares, and bonds of all types in any manner that serves the interests of the Bank;
- i) approve programs that encourage citizens, sole proprietorships, and companies to deposit their funds with the Bank in order for the Bank to invest such funds to achieve its objectives while guaranteeing repayment upon request;
- j) approve the implementing regulations of this Law;
- k) appoint one or more auditors for the Bank; and
- l) approve the Bank's final accounts and annual report and submit them to the Council of Ministers for approval.

Article 10

The Board shall convene at least four times a year upon a call by its Chairman. Board meetings shall not be deemed valid unless attended by two thirds of the members, including the Chairman. Board decisions shall be passed by the majority vote of attending members; in case of a tie, the Chairman shall have the casting vote.

Article 11

The Bank shall have a general director of a rank not lower than grade Fifteen. He shall be appointed pursuant to a resolution by the Council of Ministers upon a recommendation by the Minister.

Article 12

The General Director of the Bank shall have the powers necessary to:

- a) achieve the Bank's objectives;
- b) supervise the Bank's management and the implementation of the policies and decisions adopted by the Board;
- c) represent the Bank before third parties;
- d) collect receivables due to the Bank or transferred thereto; and
- e) prepare quarterly and annual reports to be presented to the Board which include the Bank's achievements as well as the challenges faced and proposed solutions.



Article 13

The loans provided for in Article 4 of this Law shall be offered against acceptable and sufficient collaterals to guarantee repayment, in accordance with the provisions of this Law and its implementing regulations.

Article 14

- a) The loans granted by the Bank shall have the same privileges and guarantees prescribed for debts owed to the State Treasury.
- b) Debts owed to the Bank shall be subject to the rules governing the collection of public funds.
- c) All government agencies shall cooperate with the Bank in the collection of its loans.

Article 15

The Bank shall offer loans in accordance with the regulations and instructions that specify the terms, conditions, and guarantees for lending, provided that such instructions include the following:

- a) The borrower has a genuine need for the loan.
- b) The loan serves a social, professional, or economic purpose.

Article 16

The fiscal year of the Bank shall be the same as the fiscal year of the State.

Article 17

This Law shall supersede the Law of the Saudi Credit Bank issued by Royal Decree No. M/44, dated 21/9/1391H, and shall repeal any provisions conflicting therewith.

Article 18

This Law shall be published in the Official Gazette and shall enter into force 90 days following the date of its publication.



Appendix

Amendments

July 25, 2016 (Shawwal 20, 1437H)

Council of Ministers Resolution No. 440 provides for the following:

- Replacing the phrase “Minister of Finance” mentioned in paragraph (2) of Article 1 with the phrase “Minister of Labor and Social Development”.
- Adding the phrase “and shall report to the Minister” to the end of Article 2.
- Replacing the phrase “such capital may be increased” mentioned in Article 6 with the phrase “such capital may be amended”.
- Deleting the phrase “upon a recommendation by the Minister” at the end of Article 6.
- Replacing the phrase "Chairman of the Board, to be nominated by the Minister" mentioned in paragraph (a) of Article 8 with the word "Minister".
- Replacing the phrase "The General Director of the Bank shall be exempt from the term limit" mentioned in paragraph (b) of Article 8 with the phrase "The Chairman and the General Director of the Bank shall be exempt from the term limit".
- Deleting the phrase "upon a recommendation by the Minister" at the end of paragraph (d) of Article 8.

October 31, 2016 (Muharram 30, 1438H)

Council of Ministers Resolution No. 75 provides for the following:

- Amending the name "Saudi Credit and Savings Bank" to be "Social Development Bank", and replacing the name "Saudi Credit and Savings Bank" with "Social Development Bank" wherever mentioned in the Law as well as other laws, statutes, decrees, orders, resolutions, regulations, and instructions.
- Making the following amendments to Article 4:
 1. Amending paragraph (a) to read as follows: "Offering interest-free loans and non-financial services to micro-enterprises to encourage the owners of such enterprises to engage in businesses and professions for their own account. The Bank shall determine the classification of micro-enterprises, the maximum capital thereof, and the maximum number of employees thereof".
 2. Amending paragraph (c) to read as follows: "Developing and supporting the micro-enterprises sector to enhance its role in economic and social development".
 3. Adding the phrase "and programs" after the word "tools" mentioned in paragraph (d), which shall, upon amendment, read as follows: "Promoting saving and thrift among individuals and institutions in the Kingdom, and developing tools and programs to achieve this objective".



4. Adding a new paragraph to read as follows: "e) Offering interest-free loans and non-financial services to civil society associations and organizations to enable them to contribute to the provision of services to the beneficiaries targeted by the Bank".
- Amending Article 7 to comprise two paragraphs; the current text shall serve as paragraph (1), and paragraph (2) shall read as follows: "2. The Bank may, pursuant to a decision by the Board, invest its funds, including in the incorporation of companies or the participation in the incorporation thereof".
 - Making the following amendments to Article 8:
 1. Amending the beginning of paragraph (a) to read as follows: "The Bank shall have a board of directors comprising the following:".
 2. Replacing the phrase "Two members with relevant expertise from the private sector to be nominated by the Minister" mentioned in paragraph (a) with the phrase "Four members with relevant expertise to be nominated by the Minister".
 3. Replacing the phrase "grade Twelve" mentioned at the end of paragraph (a) with the phrase "grade Fourteen or its equivalent", to read as follows: "The representatives of government agencies shall be of a rank not lower than grade Fourteen or its equivalent".
 - Making the following amendments to Article 9:
 1. Amending paragraph (d) to read as follows: "specify the types of loans offered by the Bank and set the maximum limits and the collaterals therefor".
 2. Adding the following text to the end of the Article:

"The Board may delegate certain powers to any of the Bank's officials or committees as necessary.

The Board may also entrust any non-governmental entity with providing some of the Bank's services".
 - Replacing the word "Chairman" with the phrase "meeting chairman" at the end of Article 10.
 - Amending Article 11 to read as follows:
 - "1. The Bank shall have a general director whose appointment and dismissal shall be pursuant to a Board decision upon a recommendation by the Minister. The appointment decision shall specify the General Director's salary and other financial benefits.
 2. The General Director shall have an assistant, or more, whose appointment and dismissal shall be pursuant to a Board decision upon a recommendation by the General Director. The appointment decision shall specify the assistant's salary and other financial benefits. The assistant shall undertake tasks in accordance with the powers granted to him by the General Director and within the limits of this Law".



November 21, 2017 (Rabi' I 3, 1439H)

Council of Ministers Resolution No. 132 provides for the following:

- Replacing the phrase "and shall report to the Minister" at the end of Article 2 with the phrase "and shall report to the National Development Fund".
- Amending paragraph (l) of Article 9 to read as follows: "approve the Bank's final accounts and annual report and submit them to the National Development Fund for review, in preparation for completion of applicable statutory procedures".

October 29, 2019 (Rabi' I 1, 1441H)

Council of Ministers Resolution No. 182 provides for the following:

- Adding paragraphs (f), (g), and (h) to Article 4, which shall read as follows:
 - "f) Offering interest-free loans to small enterprises and startups to help increase their contribution to the national economy and the creation of job opportunities.
 - g) Providing technical and administrative support services to the enterprises benefiting from the Bank's services in order to enhance their efficiency and increase their success rate.
 - h) Encouraging the private sector to participate in social responsibility by managing the Bank's private financial portfolios to serve its beneficiaries in order to achieve the objectives of social development".
- Deleting the phrase "and its financial and administrative regulations" at the end of paragraph (a) of Article 9.
- Adding paragraph (m) to Article 9, which shall read as follows:
 - "m) approve the Bank's administrative and financial regulations as well as any other internal and technical regulations and procedures necessary for the management of its affairs, provided that approval of the financial regulations and the provisions with financial impact in the administrative regulations is made in agreement with the Ministry of Finance".
- Replacing the word "assistant" with the word "deputy" mentioned in paragraph (2) of Article 11.
- Adding a paragraph to be numbered (3) to Article 11, which shall read as follows:
 - "3. The Bank's employees shall be subject to the Labor Law and the Social Insurance Law."
- Replacing the phrase "General Director" with the phrase "Chief Executive Officer" wherever mentioned in the Law.

August 18, 2020 (Thul-Hijjah 28, 1441H)

Council of Ministers Resolution No. 790 provides for the following:

- Adding a subparagraph to paragraph (a) of Article 8, which shall read as follows:
 - "A representative of the National Development Fund, member".

March 3, 2024 (Sha'ban 22, 1445H)

Royal Decree No. M/160 provides for the following:

- Deleting the sentence "Social loans granted to low-income individuals shall be exempt from such fees" in subparagraph (c) of paragraph (1) of Article 7.